

Forest 05 2023

Originator: Spandana Sphoorty Financial Limited

December 10, 2024

Transaction	Instrument	Rating ¹	Rating Action
Forest 05 2023	Series A1 PTC	-	Withdrawn

Details of instruments/facilities in Annexure-1

Rationale and key rating drivers

CARE Ratings Limited (CARE Ratings) has withdrawn the rating assigned to instruments issued by Forest 05 2023 backed by microfinance loan receivables originated by Spandana Sphoorty Financial Limited (SSFL). The rating is withdrawn as payouts have been made to investors in full and there is no amount outstanding as on date.

Detailed description of key rating drivers: Not applicable

Analytical approach: Not applicable

Applicable criteria

[Policy on Withdrawal of ratings](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Securitisation

SSFL is primarily engaged in extending microfinance loans through joint-liability group (JLG) model, primarily to borrowers belonging to low-income household in 1997. In 2003, the company was registered with the Reserve bank of India (RBI), as a non-deposit taking non-banking finance company ("NBFC-ND") and is currently registered under the new category of NBFC-MFI. The company went into CDR, post the AP crisis in 2010 and exited CDR in April 2017.

SSFL was promoted by Padmaja Reddy, who holds ~15% stake in the company and is a member of the board but does not hold significant control. Other major stakeholders are Kedaara Capital and Affiliates (holding 58.19%), JM Financial Products Limited (holding 9.94%) and Valiant Mauritius Partners FDI Limited (holding 9.46%). The new CEO, Shalabh Saxena, and the CFO, Ashish, have prior experience in Bharat Financial. Positions of CTO, CBO and CXO were also filled by Kedaara Capital thereafter.

SSFL has a presence in 20 states with 1570 branches. The portfolio is diversified, as Odisha constituted the maximum of 13.60%, but top four states constituted 48.81% of the portfolio. SSFL is focused on its micro-credit business and follows JLG model for risk mitigation. SSFL's business is targeted towards under-privileged women. Each centre typically manages 1-3 groups, with each group consisting of 8-12 members.

Key financial indicators

Particulars	FY22 (A)	FY23 (A)	FY24 (A)	Q1FY25 (P)
Total income (₹ crore)	1,392	1,394	2,407	689
PAT (₹ crore)	47	12	468	51
Net worth	3,031	3,043	3,556	3,614
D/E Ratio	1.20	1.95	2.53	2.33
Net NPA (%)	6.78	0.58	0.29	0.52
ROTA (%)	0.68	0.16	4.24	1.63

A: Audited; P: Provisional, Note: these are latest available financial results.

Status of non-cooperation with previous CRA: Not applicable

¹Complete definition of ratings assigned are available at www.careedge.in and other CARE Ratings Limited's publications.

Any other information: No

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instruments/facilities: Annexure-3

Complexity level of instruments rated: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance	Coupon Rate	Maturity Date	Size of the Issue (₹ crore)	Rating assigned and Rating Outlook
Pass Through Certificates	-	14-06-2023	10.00%	17-03-2025	0.00	Withdrawn

Annexure-2: Rating history of last three years:

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022
1	Pass Through Certificates	LT	-	-	1)CARE AA- (SO) (19-Aug-24)	1)CARE AA- (SO) (14-Aug-23) 2)Provisional CARE AA- (SO) (20-Jun-23) 3)Provisional CARE AA- (SO) (07-Jun-23)	-	-

LT- Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Complexity level of instruments rated

Sr. No.	Name of Instrument	Complexity Level
1	Pass-through certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on complexity levels of rated instruments: CARE Ratings has classified instruments rated by it based on complexity. This classification is available at www.careredge.in. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact Name: Mradul Mishra Director CARE Ratings Limited Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in Relationship Contact Name: Pradeep Kumar V Senior Director CARE Ratings Limited Phone: 044-2850 1000 E-mail: pradeep.kumar@careedge.in	Analytical Contacts Name: Vineet Jain Senior Director CARE Ratings Limited Phone: +91-22-6754 3456 E-mail: vineet.jain@careedge.in Name: Sriram Rajagopalan Director CARE Ratings Limited Phone: +91-22-6754 3652 E-mail: sriram.rajagopalan@careedge.in Name: Chirag Ashwin Gambhir Associate Director CARE Ratings Limited Phone: +91-22-6754 3623 E-mail: chirag.gambhir@careedge.in
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About us:

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